

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Keep your units and bases consistent when splitting a cost change, and recheck your math whenever an implied figure diverges sharply from market data. You applied the 37.5% input inflation to the old revenue base but subtracted it from today's grown base, which invented a 94% bean cost rise and a phantom 'self-inflicted' gap. With flat prices, convert each input's inflation to points of revenue: beans 10.5 ' 14.7 (+4.2) and other inputs 31.5 ' 43.3 (+11.8). That shows non-bean inputs drive about three-quarters of the squeeze.

Rubric Scores

Problem Structuring

adequate

What went well

You built a relevant profit tree tailored to a chain, flagging new-store growth and per-store/per-transaction views so growth doesn't hide deterioration.

"On revenue, I'd check whether the 15% growth came from price, volume, or new store openings — because growth from opening stores can carry a lot of fixed cost with it."

"I'd look at those on a per-store and per-transaction basis, not just in total, so growth doesn't mask deterioration."

You prioritized the cost side up front, based on the revenue-up/margin-down pattern.

"Since revenue is up 15% but margin fell from 24% to 6%, the problem is almost certainly on the cost side, but I want to confirm that before I commit."

What needs work

The structure was not tied to the CEO's decision of how to reverse the decline, and it did not cover competitive context or pricing power (are peers seeing the same squeeze, and can the company pass costs through?).

"Then I'd isolate which line item moved most, and ask whether it's an external shock like commodity prices or something internal."

The cost branch mixed two cuts (fixed vs. variable, and line items) and initially left out below-the-line items. You fixed this only when prompted.

"On costs, I'd split fixed versus variable: COGS like coffee, milk, cups; labor; rent and occupancy; and corporate overhead."

Missed opportunities

Opening framework in turn 2, before asking about the source of revenue growth.

A great answer: "Our goal is to find why margin fell 18 points despite 15% revenue growth and how to restore it. I'll look at three areas: revenue quality (price vs. volume), the cost lines (COGS, labor, occupancy, overhead, plus below-the-line items), and market context, meaning whether competitors face the same input inflation and whether we've kept pace on pricing. My hypothesis is unrecovered COGS inflation, so I'll start there. That tells us whether the fix is pricing, procurement, or operations."

Quantitative & Analytical Rigor

needs work

What went well

You sized the problem correctly in dollars and used it to point the search toward the largest cost lines.

"\$2.4M per store times 200 stores is \$480M in revenue today. An 18-point margin drop on that base is roughly \$86M of profit we need to explain."

"Sixteen points on \$480M is about \$77M, which is nearly all of the roughly \$86M profit gap."

What needs work

You set up an indexed approach and narrated each step out loud, but the bean decomposition mixed two bases: the 37.5% input inflation was applied to the old revenue-100 base and then subtracted from today's COGS on the 115 base, so all the volume growth landed on beans. Done consistently, beans go from 10.5 to 14.7 points of revenue (+4.2) and other inputs from 31.5 to 43.3 (+11.8), which puts bean unit cost up about 40%, in line with the market, not 94%.

"Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$."

"Today COGS is 58% of 115 = 66.7. So beans today = $66.7 - 43.3 = 23.4$."

"Now let me isolate beans. Index revenue two years ago at 100, today at 115."

You did not sanity-check the result. An implied unit cost more than double the market move should have prompted a recheck of the setup, not a new hypothesis.

“Market bean prices are up 40%, but our implied unit cost is up about 94% — more than double the market move.”

The 10% price increase was asserted rather than derived from what is needed to close the gap. With costs at 94% of revenue, a 10% price rise and no volume loss gets margin to only about 14.5%; restoring 24% would need about 24%.

“Immediately, raise prices — roughly 10%, which yields about \$48M on a \$480M base.”

Missed opportunities

Turn 15, after the interviewer revealed “Raw coffee bean costs are up 40%” so you could confirm the bean figure.

A great answer: “My implied 94% is far from the 40% market move, so let me recheck before I hypothesize. Since prices are flat, each input’s share of revenue scales with its unit-cost inflation. Beans go from $10.5 \times 1.40 = 14.7$, which is +4.2 points. Other inputs go from $31.5 \times 1.375 = 43.3$, which is +11.8 points. Together that’s exactly 58%, so the data reconcile with no unexplained gap, and non-bean inputs are about three-quarters of the COGS problem.”

Data & Exhibit Interpretation

adequate

What went well

You proposed sharp next steps: break down COGS by input and check menu price history.

“First, a split of that COGS line — green coffee, dairy, cups and packaging, food — so I can see which input moved.”

“Second, menu price history: if we haven’t raised prices in two years while input costs rose, that alone mechanically inflates COGS as a percent of revenue.”

What needs work

You read the top-level cost exhibit systematically and correctly isolated COGS as 16 of the 18 points, but you misread the COGS breakdown by stopping at beans as the root cause and dismissing the other inputs, which account for about 11.8 of those 16 points versus roughly 4.2 for beans.

“So beans are the root cause.”

“Compare the others: $1.375/1.15 \approx 1.20$, so about 20% unit inflation — that’s normal-ish.”

“COGS is the whole story. It went from 42% to 58% of revenue — 16 points — while labor held flat at 22% and overhead crept up only 2 points.”

Missed opportunities

Turn 13, after receiving bean share (25% of COGS), other inputs +37.5%, and flat menu prices.

A great answer: “Beans were 10.5 points of revenue. At +40% they add about 4.2 points, so beans can’t explain 16. The other 11.8 points come from dairy, packaging, and food, up 37.5% on a base three times larger. The fix has to cover all inputs, not just coffee.”

Business Judgment & Insight

adequate

Your spot-vs-contract procurement hypothesis rests on data you requested in turn 15 that the interviewer declined to provide, so that assumption itself is not faulted here.

What went well

You applied sound commercial reasoning to rule out occupancy, using lease structure.

“Occupancy is big but it’s fixed under multi-year leases; it can’t swing 18 points in two years unless leases reset all at once.”

You surfaced price elasticity as the key risk and proposed testing and a competitor check as mitigations.

“Risks: price elasticity is the big one, since all our growth has been volume — so I’d test in a few markets first. Also check competitor pricing before moving.”

What needs work

You built the diagnosis on a phantom gap from the base-mixing error, calling half the bean cost ‘self-inflicted’ when the data show bean unit costs in line with the market.

“So roughly 40 points is an external shock we share with every competitor, and the other ~54 points is something we’re doing to ourselves.”

The cost fix was scoped to beans only. Dairy, packaging, and food, up 37.5% on the larger share of COGS, got no procurement attention.

“Compare the others: $1.375/1.15 \approx 1.20$, so about 20% unit inflation — that’s normal-ish.”

Missed opportunities

Turn 19, when sequencing the procurement lever.

A great answer: “In parallel, renegotiate supply across all inputs. Beans explain only about a quarter of the COGS increase, so dairy, packaging, and food contracts are where most of the cost recovery lives.”

Creativity & Brainstorming

strong

What went well

You organized the brainstorm into clear buckets: price, product/mix, and operations.

"Beyond procurement, I'd group levers three ways."

You included non-obvious ideas, such as shifting mix toward less bean-intensive items and blending cheaper beans where the difference won't be noticed.

"Also revisit the bean blend — a cheaper blend ratio that's imperceptible in a milk drink."

"Push items where beans aren't the main input — milk-heavy drinks, food, pastries — and reformulate or resize."

You prioritized by sizing the price lever against the gap, but you did not size or rank the product/mix and operations ideas against each other, so their relative impact was unclear.

"Even a 10% increase on \$480M is \$48M of near-pure margin."

"That alone could recover more than half the gap."

"Attack yield and waste: grams per shot, spillage, stale inventory."

Missed opportunities

Closing the brainstorm in turn 17.

A great answer: "Ranking these: price is first and largest, about \$48M. Input cost recovery across all suppliers is second.

Mix shift and waste are smaller but cheap to start. Here's roughly how much each could contribute toward the \$86M."

Synthesis & Recommendation

adequate

What went well

You led with a clear recommendation and sequence, then gave risks and concrete next steps concisely.

"My recommendation: Brew & Bean should raise menu prices and fix procurement, in that order, to recover the roughly \$86M profit gap."

"Next step: pull procurement contracts and run a pricing pilot."

What needs work

The key supporting reason, half the damage being self-inflicted, rests on the flawed bean calculation, so the root cause given to the CEO is wrong.

"Market prices rose 40%, but our unit cost rose about 94% — so half the damage is self-inflicted, and we compounded it by holding menu prices flat for two full years."

You didn't show how the plan adds up to the \$86M you promised to recover; the price lever covers about \$48M and the rest is unquantified.

"Immediately, raise prices — roughly 10%, which yields about \$48M on a \$480M base."

Missed opportunities

Turn 19 recommendation to the CEO.

A great answer: "Raise prices selectively and renegotiate inputs across the board. Margin fell because input costs rose about 38% while menu prices stayed flat for two years. Beans add about 4 points and dairy, packaging, and food about 12. A targeted price increase recovers about \$48M, and supplier renegotiation closes the rest. The main risk is elasticity, so we pilot in a few markets first."

Communication & Delivery

strong

What went well

You were generally top-down and signposted, stating the structure before the detail, but in the bean analysis you worked bottom-up and gave the conclusion only at the end instead of stating the hypothesis first and then proving it.

"Here's how I'd like to approach it."

"Beyond procurement, I'd group levers three ways."

"Now let me isolate beans. Index revenue two years ago at 100, today at 115."

You used hypothesis-driven phrasing and answered the precise question first.

"Mostly, but there's a gap."

"So I'd start with COGS, specifically green coffee and dairy, since those are exposed to commodity markets, and then labor right after."

Missed opportunities

Opening turn 13.

A great answer: "My hypothesis is that beans alone can't explain 16 points. Let me test that by converting each input's inflation into points of revenue."

Pushback, Composure & Case Leadership

adequate

What went well

You drove the case proactively by asking for the right data at each step.

"Do we have a cost breakdown as a percentage of revenue, for today versus two years ago?"

What needs work

When explicitly challenged on MECE, you acknowledged the gap and updated your structure with clear reasoning. But when the interviewer revealed the 40% market bean price so you could confirm your figure, you treated the mismatch as a new insight instead of a signal to recheck your own math.

"That's a really important gap. Market bean prices are up 40%, but our implied unit cost is up about 94% — more than double the market move."

"Mostly, but there's a gap."

"I should add a 'non-operating' branch to make it exhaustive."

Missed opportunities

Turn 15, responding to "Raw coffee bean costs are up 40%."

A great answer: "That's well below my 94%, which makes me doubt my setup rather than the supplier. I treated volume inconsistently between beans and other inputs. Correcting that, bean unit cost is up about 40% as expected, and the bigger driver is the non-bean inputs."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you like to approach this?

Candidate · 2:48

Here's how I'd like to approach it. Since revenue is up 15% but margin fell from 24% to 6%, the problem is almost certainly on the cost side, but I want to confirm that before I commit.

So first, I'd decompose profit into revenue and costs. On revenue, I'd check whether the 15% growth came from price, volume, or new store openings — because growth from opening stores can carry a lot of fixed cost with it. On costs, I'd split fixed versus variable: COGS like coffee, milk, cups; labor; rent and occupancy; and corporate overhead. I'd look at those on a per-store and per-transaction basis, not just in total, so growth doesn't mask deterioration.

Then I'd isolate which line item moved most, and ask whether it's an external shock like commodity prices or something internal.

To start: do we know where the 15% revenue growth came from — new stores or same-store sales?

Interviewer · 2:50

Before I answer that, here's one question on your structure. To your question on the data: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. I'll come to that data shortly. Is it MECE, and what, if anything, is missing?

Interviewer · 3:52

Still with me? Take your time. The question on the table: is it MECE, and what, if anything, is missing?

Candidate · 5:31

Mostly, but there's a gap. I framed costs as COGS, labor, occupancy, and overhead — that's clean and non-overlapping on the operating side. But the metric we're solving for is net profit margin, not operating margin. So I'm missing everything below the operating line: interest expense, taxes, depreciation and amortization, and any one-time items like impairments or restructuring charges. If the company took on debt or wrote something down, net margin could crater while operations look fine. I should add a "non-operating" branch to make it exhaustive.

One more thing I'd flag: revenue is MECE as price times volume, but volume itself splits into transactions per store and items per transaction — and with the footprint flat at 200 stores, that distinction matters a lot. All of the 15% growth is same-store, so either we're selling more or charging more, and those have very different cost implications.

Interviewer · 5:33

Average revenue per store is \$2.4M a year. Which cost line would you look at first, and why?

Interviewer · 6:35

Still with me? Take your time. The question on the table: which cost line would you look at first, and why?

Candidate · 8:16

Let me size it first. \$2.4M per store times 200 stores is \$480M in revenue today. An 18-point margin drop on that base is roughly \$86M of profit we need to explain. That's large enough that it almost has to sit in one of the two biggest cost lines, not in something small.

For a coffee chain, the two candidates are COGS and labor — together they're typically 55 to 65% of revenue, and both are variable, so they'd scale with the same-store growth we've seen. Occupancy is big but it's fixed under multi-year leases; it can't swing 18 points in two years unless leases reset all at once.

So I'd start with COGS, specifically green coffee and dairy, since those are exposed to commodity markets, and then labor right after.

Do we have a cost breakdown as a percentage of revenue, for today versus two years ago?

Interviewer · 8:18

They asked for the cost breakdown as a percentage of revenue, today versus two years ago. Exhibit A is the cost structure over time, so I'll show it.

[Exhibit shown: Brew & Bean Cost Structure Over Time]

Candidate · 9:50

COGS is the whole story. It went from 42% to 58% of revenue — 16 points — while labor held flat at 22% and overhead crept up only 2 points. Sixteen points on \$480M is about \$77M, which is nearly all of the roughly \$86M profit gap. Overhead explains maybe \$10M. So I'd park labor and overhead entirely and go deep on COGS.

What's notable is labor staying flat at 22%. If volume had grown a lot, I'd expect labor to show some leverage; flat suggests labor is tracking revenue closely, which is a hint the revenue growth may be volume-driven rather than price-driven.

Two things I'd want. First, a split of that COGS line — green coffee, dairy, cups and packaging, food — so I can see which input moved. Second, menu price history: if we haven't raised prices in two years while input costs rose, that alone mechanically inflates COGS as a percent of revenue.

Interviewer · 9:52

Revealing those items now, plus the bean share, since it's the COGS breakdown. I'll also probe the volume-driven assertion. Coffee beans were 25% of COGS two years ago. Menu prices have not changed in two years. To your question on the data: Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Interviewer · 10:54

Still with me? Take your time.

Candidate · 12:51

Flat menu prices confirms it — with footprint flat at 200 stores and no price change, all 15% of revenue growth is volume. We're selling about 15% more units.

Now let me isolate beans. Index revenue two years ago at 100, today at 115.

Two years ago: COGS was 42. Beans at 25% of that is 10.5; everything else is 31.5.

Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$.

Today COGS is 58% of 115 = 66.7. So beans today = $66.7 - 43.3 = 23.4$.

Beans went from 10.5 to 23.4 — up 123% in total spend. But volume is only up 15%, so unit bean cost is $1.23/1.15 \approx 1.94$. Beans have roughly doubled in price per pound.

Compare the others: $1.375/1.15 \approx 1.20$, so about 20% unit inflation — that's normal-ish.

So beans are the root cause. They've gone from 10.5% of revenue to about 20% of revenue, roughly a 10-point hit, and they're now 35% of COGS instead of 25%. Combined with holding prices flat for two years, we absorbed the entire shock.

Interviewer · 12:53

Core driver quantified, so I'll reveal the bean price data to let them confirm, and advance to the brainstorm. Raw coffee bean costs are up 40% over the past two years.

Candidate · 14:24

That's a really important gap. Market bean prices are up 40%, but our implied unit cost is up about 94% — more than double the market move. So roughly 40 points is an external shock we share with every competitor, and the other ~54 points is something we're doing to ourselves.

A few hypotheses for that gap. One, procurement: we may be buying on the spot market while competitors hedged or locked in multi-year contracts, so we're eating every price spike at the peak. Two, mix shift: we may have moved to a more expensive bean — single-origin or premium roast — without repricing the menu. Three, waste and yield: more grams per cup, spillage, stale inventory, or over-brewing. Four, we may have lost scale leverage with suppliers, or a key contract expired and we renegotiated badly.

The first is most likely given the magnitude — a contract rolling off is the kind of thing that doubles your cost overnight.

Do we know how Brew & Bean procures beans — contracts versus spot?

Interviewer · 14:26

That's not in the information I have. Set procurement aside for a moment: beyond what we've discussed, what else could the client do to reverse the profit decline?

Candidate · 15:56

Beyond procurement, I'd group levers three ways.

Price. We haven't raised menu prices in two years while inputs rose industry-wide, so competitors have almost certainly moved. Even a 10% increase on \$480M is \$48M of near-pure margin. Coffee demand is fairly inelastic and our customers are specialty buyers, so I'd expect modest volume loss. That alone could recover more than half the gap.

Product and mix. Push items where beans aren't the main input — milk-heavy drinks, food, pastries — and reformulate or resize. Shift the mix toward higher-margin SKUs rather than raising every price uniformly.

Operations. Attack yield and waste: grams per shot, spillage, stale inventory. If part of that 54-point gap is waste, it's recoverable without touching the customer. Also revisit the bean blend — a cheaper blend ratio that's imperceptible in a milk drink.

And one guardrail: I'd check volume response carefully, since all our growth has been volume, and a price move trades directly against it.

Interviewer · 15:58

Okay. The CEO is waiting on your answer: what is your recommendation, and how would you sequence it?

Candidate · 17:29

My recommendation: Brew & Bean should raise menu prices and fix procurement, in that order, to recover the roughly \$86M profit gap.

The root cause is beans. They went from about 10.5% to 20% of revenue, explaining most of the 16-point COGS increase. Market prices rose 40%, but our unit cost rose about 94% — so half the damage is self-inflicted, and we compounded it by holding menu prices flat for two full years.

Sequencing. Immediately, raise prices — roughly 10%, which yields about \$48M on a \$480M base. It's the fastest lever and requires no supplier negotiation. In parallel, over the next quarter, audit procurement: move off spot onto hedged multi-year contracts and diversify suppliers to close the 54-point gap versus market. Then, over six months, address waste, yield per shot, and blend composition.

Risks: price elasticity is the big one, since all our growth has been volume — so I'd test in a few markets first. Also check competitor pricing before moving.

Next step: pull procurement contracts and run a pricing pilot.

Interviewer · 17:31

That's our time. Thanks for working through this with me — your written report will follow.